I am pleased to announce that, during FY 2021–22, we have delivered the highest ever net profit of ₹10,022 crore, up 19% from the previous fiscal. On a consolidated basis, the company earned net profit of ₹18,768 crore, a 19% increase from FY 2020-21. To reward our shareholders, PFC has declared a total dividend of 120% i.e. ₹12 per share during FY 2021-22, which is the highest pay out in the history of PFC.

Ravinder Singh Dhillon
Chairman & Managing Director



outstanding dues. PFC shall also act as the nodal agency to monitor implementation of these rules, which have provisions to prevent accumulation of dues in the future. This would ease the financial position of power generation and transmission companies and will improve investors' confidence in the sector.

Your company has been publishing performance report on state powerutilities on an annual basis and is also the co-ordinating agency for Integrated Rating exercise carried out as per framework approved by Ministry of Power. The 10th Integrated Rating & Ranking of Power Distribution Utilities marked a new milestone with the inclusion of Private Distribution Utilities and Power Departments covering a total of 71 utilities across India. These reports are widely used by stakeholders including utilities, policy makers, developers, lenders, equity analysts and regulators, for decision making.

Highest Ever
₹ 10,022 CR
Standalone PAT



Shri Amit Shah, Hon'ble Minister of Home Affairs presenting Rajbhashi Kirti First Prize (2020-21) to Shri R.S Dhillon, CMD

LEADING THE FIGHT ON CLIMATE CHANGE

Shift in energy consumption to cleaner and green options will play a significant role in economic growth globally. During the COP 26 summit held in Glasgow in October 2021, India has substantially enhanced its climate change mitigation goals. Our country would follow a five-pronged strategy, named 'Panchamrita', for phased reduction in greenhouse gas emissions, culminating in net Zero emissions by the year 2070. As part of the strategy, intermediate targets have been set for achieving 500 GW non-fossil fuel generation capacity by 2030 and meeting 50% of our energy requirement from renewable energy sources. These targets, though quite steep, can be achieved through collaboration between domestic private, state-owned and foreign players.

PFC is leading the financing of energy transition in India and **PFC intends to become the DFI for Net Zero** to steer the national commitments on climate change.

The Ministries of Power and New & Renewable Energy have rolled out a slew of reforms to push mainstreaming of energy from green and sustainable sources and achieve the 500 GW target. Towards this end, thermal power generators have been allowed to set up renewable energy capacities on their own or through dedicated developers and to supply it to the consumers under the existing PPAs. Bundling of thermal and renewable energy sources will also benefit the customers, with power getting cost effective while improving the profitability of energy companies.



Shri R.K. Singh, Hon'ble Cabinet Minister of Power and New & Renewable Energy congratulating PFC on being accorded the 'Maharatna' Status.

Your company is already playing a significant role in India's energy transition effort. PFC has supported renewable energy capacity addition of 18 GW, which is 16% of the country's installed renewable capacity. During the last fiscal, 44% of the disbursement made by PFC to the generation sector was to non-fossil fuel projects. PFC's renewable energy assets grew at a CAGR of 32% in the last 5 years, compared to 9% growth in total loan assets.

The upward revision in green energy targets would fuel expansion of the green energy financing market, and would demand innovative financing models. According to various estimates, the fund requirement to meet India's net zero target is about US$ 10 trillion, a large part of which is to be deployed in the energy sector. Your company being a major financier of the sector would play a key role in channelizing this investment.

CORPORATE GOVERNANCE & SOCIAL RESPONSIBILITY

Good corporate governance is essential to ensure transparency and to boost stakeholder trust and confidence. Being a listed company, PFC complies with all applicable provisions within its ambit, relating to corporate governance as stipulated under the Companies Act, 2013, SEBI (Listing Obligations & Disclosure Requirements) Regulations, DPE Guidelines etc. Your company maintains the highest standards of transparency, accountability and adequate disclosures.

Being a socially responsible entity, PFC has put its CSR and sustainability policy into practise with utmost sincerity. I am proud to state that PFC's cumulative CSR spending has surpassed ₹1000 crore to date.

1.76%
Lowest Net NPA

DIVERSIFICATION & WAY FORWARD

In order to sustain the growth momentum, your company has diversified into funding infrastructure projects in irrigation, waste to energy and water treatment sectors and also into new and emerging sectors like e-mobility, utility scale energy storage etc. Taking the initiative forward, PFC has recently sanctioned financial assistance to projects in infrastructure sectors including metro rail, petroleum refining, bio ethanol manufacturing and nuclear energy. With your company's growing balance sheet size, diversification into newer infrastructure areas is expected to gather steam in the coming years.

ACKNOWLEDGEMENT

I convey my sincere gratitude to our shareholders who have reposed faith in us. I am grateful to the Hon'ble Cabinet Minister of Power and New & Renewable Energy, Hon'ble Minister of State for Power and the officials of Ministry of Power for their support and guidance. I also thank the Board of Directors, our client utilities, employees, various ministries, government departments and other stakeholders of PFC for their continued support.

Place: New Delhi
Date: 21.09.2022

(R. S. Dhillon)
Chairman & Managing Director

(This does not purport to be a record of the proceedings of the Annual General Meeting held on 21st September, 2022). For full text please visit www.pfcindia.com

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